

Executive Summary

Sub-Saharan Africa's Recovery Holds, but the Risks Are Rising

- ▶ Economic growth in Sub-Saharan Africa is projected to remain at 4.1 percent in 2026, unchanged from 2025, but downside risks are increasing. The region's recovery from successive global shocks is losing steam, with growth projections for 2026 revised downward by 0.3 percentage points from forecasts previously published in the October 2025 edition of *Africa's Pulse*.
- ▶ Domestic demand continues to underpin growth, supported by private consumption and investment amid accommodative monetary policy and improving external conditions. A weaker U.S. dollar has eased inflationary pressures and increased household incomes across countries in the region. Meanwhile, high prices for precious metals and beverages (coffee and cocoa) boosted revenues in 2025 and are expected to further strengthen fiscal and external positions in resource-rich countries this year.
- ▶ Rising geopolitical spillovers from the Middle East, coupled with heavy debt-service burdens and deep-seated structural weaknesses, are eroding growth prospects and stalling job creation. These risks have intensified since February 28, when the conflict in the Middle East rapidly escalated, including direct attacks on energy production facilities and severe disruption to shipping through the Strait of Hormuz. The severity of the conflict's impact on Sub-Saharan Africa will depend on the duration of hostilities, the scope of the conflict's regional spillovers, and the level of damage to critical infrastructure. The effects are expected to be transmitted predominantly through four channels: trade, investment, financial markets, and labor.
- ▶ The conflict in the Middle East will affect the region primarily through the trade channel, notably via heightened volatility in global energy markets. Prices of Brent crude oil and liquefied natural gas have risen sharply, while fertilizer prices have also increased amid disruption to shipments through the Strait of Hormuz. These developments threaten both current and future planting seasons, potentially exacerbating food insecurity. Disruptions to domestic food production and rising food import costs are likely to translate into higher food prices. Combined with increased fuel costs, these pressures are expected to increase inflation—particularly in oil-importing countries—potentially prompting central banks to tighten monetary policy.
- ▶ In recent years, Gulf countries have emerged as significant investors across Africa, with greenfield foreign direct investment commitments in Sub-Saharan Africa exceeding US\$100 billion in 2022–23 alone. The ongoing conflict risks slowing down this momentum, as sovereign wealth funds reassess exposure and investment priorities, potentially delaying large-scale projects in energy (including hydrogen, solar, and wind projects), infrastructure (ports, warehouses and data centers), logistics, mining, and agriculture. The conflict has also increased risks to remittance flows, a critical lifeline for many African households—particularly in highly remittance-dependent countries such as the Comoros, The Gambia, Lesotho, and Liberia. A prolonged conflict could further reduce inflows as weaker labor demand, slower hiring, and rising repatriations affect sectors such as hospitality and construction.

- ▶ The conflict in the Middle East is evolving into a combined energy and food shock for African countries, at a time when governments are already constrained by rising debt-service obligations, limiting their capacity to respond to the crisis or finance development priorities. At the same time, declining external financing—particularly reduced development assistance—is intensifying pressures, especially for low-income countries. These challenges are unfolding amid heightened global policy uncertainty, escalating trade tensions, and the risk of abrupt tightening of global financial conditions, including higher risk premiums. Together, these external shocks could weaken export performance and further constrain access to financing.
- ▶ Sub-Saharan African governments’ responses to the energy price shock have varied according to their fiscal space and reliance on fuel imports. Some countries have cushioned consumers by reducing or repurposing fuel levies and stabilization funds (Kenya and Namibia) or introducing emergency fuel subsidies (Ethiopia), while others with limited fiscal room have raised regulated fuel prices or caps (Ghana, Malawi, Mali, and Tanzania). In countries with little capacity to intervene, fuel prices have surged sharply (Somalia and Zimbabwe). As untar­geted fuel subsidies are regressive and difficult to unwind, a more effective response is to scale up targeted and temporary social protection, repurposing subsidy resources to strengthen shock preparedness and response while enabling rapid, scalable support—including short-term measures to improve access to employment, particularly in rural agricultural value chains.

The Widening Inflation Slowdown in Africa Confronts Rising Geopolitical Shock Risks

- ▶ Prior to the conflict, inflation was declining across an increasing number of Sub-Saharan African countries, but the pace of disinflation varied widely. The median rate of inflation in the region dropped from 4.4 percent in 2024 to 3.7 percent in 2025. Inflation is projected to rise to 4.8 percent in 2026—driven largely by the anticipated effects of the conflict in the Middle East—before easing to about 3.8 percent over the 2027–28 forecast horizon. Roughly 70 percent of Sub-Saharan African economies (33 of 47) experienced an inflation slowdown in 2025.
- ▶ This period of declining inflation was aided by declining global fuel and food prices, improved external balances, stronger and more-stable currencies, and tighter monetary policy. Prior to the current conflict in the Middle East, international food and fuel prices continued trending down in 2025, thanks to positive supply expansion. African currency gains have reflected improved (global and domestic) financial conditions, higher Forex inflows due to market reforms, rising export earnings from favorable commodity prices (particularly metals and minerals and beverages), and a weaker U.S. dollar. The slowdown of inflation in countries such as Angola, Ethiopia, Ghana, and Nigeria has created room for further monetary policy easing. However, upside risks to inflation remain—global uncertainty, higher fuel and food prices well as a stronger dollar stemming from conflict in the Middle East, and domestic fiscal slippage could reignite inflationary pressures and slow, or even reverse, the normalization of monetary policy.

Fiscal Consolidation Advances, but Debt Burdens and Service Pressures Remain High

- ▶ Primary fiscal deficits in Sub-Saharan Africa are projected to be near balance by 2026–28, following gradual improvements since 2021. Government efforts to align revenues more closely with primary expenditures continue. The regional primary deficit declined from a

peak of 3.2 percent of gross domestic product (GDP) in 2020 to a projected 0.7 percent of GDP in 2025, and a balanced fiscal account is expected in 2026. Between 2024 and 2026, more than 60 percent of the region's countries are expected to record improvements in their primary balances.

- ▶ Despite this progress in balancing revenues and expenditures, the overall deficit remains elevated due to persistently high net interest payments on the public debt. Mounting interest payments exceed public spending on health or education in four out of five African countries. The budget deficit is projected to decline from 5.6 percent in 2020 to 3.5 percent in 2026, and to narrow further to 3.1 percent in 2027–28. Interest payments on public debt are projected to fluctuate between 2.9 and 3.2 percent of GDP over 2023–26.
- ▶ Public debt ratios in Sub-Saharan Africa are beginning to stabilize after a decade of rapid accumulation, but vulnerabilities remain high. The region is currently facing an environment characterized by the challenge of managing large existing debt stocks—and reduced disbursements—amid tighter financing conditions, rising repayment pressures, and higher risk of external shocks.
- ▶ External debt service pressures are rising sharply despite stabilizing stocks. External public debt service-to-revenue is projected to increase from 15.4 percent in 2024 to about 18.2 percent in 2025. The region faces a surge in amortizations, with principal repayments jumping from US\$37 billion in 2024 to US\$59.2 billion in 2025 due to maturing commercial bank loans, higher bond redemptions, and the resumption of payments under restructurings. Repayments are projected to stabilize at an elevated amount of US\$47 billion to US\$50 billion annually over 2026–28.
- ▶ Debt vulnerabilities remain historically high, reflecting containment—not resolution—of pressures that began during the COVID-19 pandemic and the subsequent global monetary policy tightening cycle. By the end of 2025, roughly half the countries in the region (25 of 48) were classified as being at high risk of debt distress or already in distress—with low-income and lower-middle-income countries accounting for 22 of the 25 countries. This underscores the limited resilience of the region's poorest economies.

UNLOCKING AFRICA'S STRUCTURAL TRANSFORMATION THROUGH STRONGER ECOSYSTEMS AND SMARTER INDUSTRIAL POLICY

- ▶ Despite an improved outlook, growth in Sub-Saharan Africa remains too low to reduce poverty or create jobs at scale. With more than 620 million people entering the labor force by 2050, meeting the region's fast-rising demand for jobs requires much higher growth, especially in agribusiness, health, value-added manufacturing, tourism, and energy infrastructure. Most new workers continue to enter low-productivity informal jobs, while wage employment remains limited. Large-scale job creation will depend on lowering the cost of doing business so firms can expand and new high-growth enterprises can emerge. This, in turn, requires addressing foundational constraints by improving infrastructure and skills, strengthening the business environment, and mobilizing private investment.

- ▶ Medium-term prospects remain constrained by chronically low investment rates, with no countries exceeding the 25 percent of GDP threshold associated with long-term growth. Limited physical capital deepening is exacerbated by insufficient skills development and capabilities. Similarly, slow diffusion of existing technologies into production continues to suppress productivity gains, further limiting the ability to create jobs and reduce extreme poverty. These structural shortcomings feed the region's recurring episodes of start-stop growth, underscoring the urgency of sustaining economic expansion. The need for a deliberate strategy to change this cycle has renewed interest in industrial policy as a tool to accelerate transformation, boost productivity, and position countries to benefit from emerging technologies such as artificial intelligence and renewable energy solutions.
- ▶ Getting industrial policies right in Africa comes with a large premium, as the region stands at a pivotal moment when the right policies can harness global trends and translate them into transformative growth. Well-designed industrial policies—grounded in a realistic understanding of opportunities and constraints, focused on sectors with strong learning potential, and executed through capable institutions—can unlock scale economies, attract private investment, and reallocate firms and workers to higher-productivity activities.

Africa's Industrial Policy Toolkit Reflects Constraints More Than Choice

- ▶ Africa's use of industrial policy has accelerated since 2010, mirroring the global surge in protective interventionism. What sets Africa's industrial policy apart is the dominance of trade-related border measures—tariffs, export controls, and local content rules—in its toolkit. This mix reflects governments' attempts to operate under three structural constraints: tight fiscal space that rules out subsidy-based support; weak administrative capacity that limits the use of performance-based instruments; and small, fragmented markets that prevent firms from scaling behind protection. These constraints create a *selection gap* between recommended instruments and those that are actually feasible. Closing this gap requires strengthening the underlying foundations of what is feasible in the first place—building administrative capability, expanding fiscal space, and deepening regional integration. With stronger foundations, governments can use more effective and sustained policy tools to address market failures, mobilize private investment, and foster the structural change needed to raise living standards across the region.
- ▶ Policy effectiveness, hence, hinges on two priorities. First, countries must invest in the foundational ecosystems that enable structural transformation—reliable infrastructure, skilled labor and technical capabilities, deeper financial markets with access to long-term capital, and strong quality standards systems. Second, industrial policy should target sectors that align with existing and potential capabilities.

The Architecture of Implementation: Why Africa's Industrial Ambitions Fall Short

- ▶ African countries often articulate strong industrial ambitions, but these may not translate into export diversification, productivity gains, or jobs because delivery and monitoring systems are weak. A comparison of national development plans and actual export structures shows that the gap between policy targets and actual outcomes, or the policy-outcome gap, is widest where implementation architecture is weakest. While most plans identify priority sectors, few link them to specific instruments, financing flows, responsible agencies, and measurable

milestones. Sector choice alone does not explain the divergent results: countries with similar priorities achieve very different outcomes. What matters is architecture—instrument specificity allows for enforceable performance conditions, clear delivery mandates provide operational autonomy and accountability to relevant agencies, and credible monitoring is a prerequisite for governance frameworks capable of ending a policy intervention when it has run its course. Where the selection gap was narrowed, such as in Mauritius for textiles, and in Rwanda for horticulture, governments have deployed instruments with enforceable performance conditions, delivery vehicles with operational autonomy, and governance frameworks capable of credible exit.

- ▶ Three implementation “gaps” explain why Africa’s industrial policy efforts often fall short of structural transformation. The *selection gap* reflects the mismatch between the instruments that theory recommends and those that countries can realistically deploy given fiscal, administrative, and market constraints. The *dosage gap* arises when support is too small and too short-lived to generate the learning needed for productivity growth—unlike the large-scale interventions seen in East Asia. The *complementarity gap* emerges when policies are applied in ecosystems that lack reliable power, logistics, skills, financial depth, and quality certification infrastructure, yielding isolated enclaves rather than structural change. These gaps are mutually reinforcing as progress on one without advances on the others does not improve outcomes. Addressing these gaps jointly is essential; otherwise, even bold industrial policy efforts will falter at implementation.

From Instruments to Ecosystems: A Practical Approach to Sector Selection

- ▶ These implementation gaps directly shape how individual instruments perform in practice. The same instrument can yield very different outcomes depending on whether a supportive ecosystem is in place. Ethiopia’s Hawassa Industrial Park—employing 25,000 workers and generating US\$240 million in annual export revenues by 2019—succeeded because the government invested upfront in power, roads, and workforce training *before* approaching investors. By contrast, Nigeria’s Calabar Free Trade Zone, anchored by a port that was never dredged, never filled more than a quarter of its capacity, underscoring how missing complementary inputs can undermine even well-designed instruments.
- ▶ From these contrasts, three principles emerge. First, ecosystem investments must come before the deployment of headline industrial policy instruments. Second, choices about instruments and sectors should reflect the ecosystem that actually exists, rather than the one envisioned in national development plans. Third, the policy package, rather than any individual instrument, should be treated as the core unit of implementation, requiring a delivery mechanism with the mandate to manage all the binding complementarities simultaneously.
- ▶ Building on this logic, sector targeting requires tools that help governments identify opportunities that are consistent with existing capabilities. The product space framework offers a practical, evidence-based method for doing so. By combining revealed comparative advantages with measures of product proximity and economic complexity, the framework helps governments identify sectors that build existing capabilities at scale. Governments do not need to pick the winning product; they need to identify the right neighborhood of capabilities and lower the cost of private sector discovery across that neighborhood.

Viability Pathways for Resource-Driven Industrialization in Africa

- ▶ Downstream processing can provide a viable industrialization pathway for resource-rich economies—but only when two conditions hold: sufficient global market power that limits buyers' ability to substitute, and a domestic ecosystem capable of supporting competitive processing. Indonesia's nickel export ban catalyzed a large processing sector precisely because both conditions were met. By contrast, applying the same policy to bauxite—where Indonesia lacked market power and China could easily source elsewhere—permanently eroded Indonesia's export position. Therefore, export restrictions are not general-purpose instruments; instead, they are high-stakes bets that succeed only under specific market and ecosystem conditions.
- ▶ Against this backdrop, Africa's Lobito Corridor and Guinea's Simandou railway offer genuine physical preconditions for resource-based industrialization at a regional scale. Whether these investments become catalysts for transformation or simply reproduce the enclave model will depend on the policy architecture built around them.

Incentive Design, Performance Discipline, and Rules-Based Exit

- ▶ Industrial policy creates rents, and rents invite capture. This makes governance design essential before any instruments are deployed. Two choices are particularly critical. First, support should target activities rather than individual firms. Sector-level interventions should maintain competitive pressure and preserve exit options. Nigeria's cement industry—protected across multiple policy cycles while domestic retail prices remained 27–76 percent above regional comparators—illustrates how firm-specific targeting can entrench incumbents and prolong efficiency losses.
- ▶ A second design choice relates to the way in which support is continued or withdrawn over time. Continuation and exit decisions must be anchored in learning metrics rather than activity metrics. Monitoring a subsidy by the volume of disbursements reveals nothing about whether supported firms are becoming more competitive. Three mechanisms further strengthen the credibility of sunset provisions: rules-based criteria for extensions, co-financing requirements that align firm incentives with performance, and multilateralization through the African Continental Free Trade Area (AfCFTA) subsidy-discipline protocols. These mechanisms raise the political cost of unilateral extensions beyond what domestic sunset clauses alone can deliver.
- ▶ Overall, ecosystem investments must be paired with well-designed policy instruments. Effective tools target activities rather than firms, provide time-bound support tied to learning and performance, and include credible exit strategies. Overall, the region's industrial policy agenda should emphasize building complementary ecosystems and deploying disciplined, capability-enhancing instruments that foster broad-based structural transformation—rather than creating narrow enclaves with limited spillovers.

Matching Country Archetypes to Feasible Industrial Policy Instruments

- ▶ This *Africa Economic Update* introduces a six-dimension diagnostic that maps African countries into six industrial policy archetypes, each associated with a distinct configuration of policy instruments. The feasibility dimensions—fiscal space, implementation capacity, and market scale—define which instruments are viable and sustainable. The effectiveness dimensions—ecosystem readiness, product-space position, and resource endowment—identify which among those viable instruments will generate the strongest learning effects. Using this framework, the tool isolates the binding constraint(s) and recommends the appropriate instrument tier and priority investments that promise the highest marginal return.
- ▶ Applying these six dimensions to Sub-Saharan Africa yields six distinct implementation contexts, each requiring a differentiated package of industrial policy instruments (archetypes). “Frontier builders” must prioritize trade facilitation and regulatory reform before deploying any incentives. “Capable constrained” economies should leverage institutional strength through rules-based special economic zones and robust quality infrastructure systems. “Resource pathway” countries have mineral entry points but ecosystem gaps that limit their feasible instruments. “Large market transformers” can sustain bundled industrial parks and conditional production subsidies. “Diversified industrializers” face the twin challenges of deepening global value chain integration while avoiding premature deindustrialization. “Corridor anchors” (for example, the Lobito Corridor spanning Angola–Democratic Republic of Congo–Zambia) require multi-country instrument design, reflecting the fact that the corridor—rather than any individual country—is the relevant unit of analysis.
- ▶ These archetypes, however, are not permanent. The most effective industrial policy investments are often those that remove the binding constraint preventing countries from moving to the next tier of feasible instruments. In this sense, deepening regional integration under the AfCFTA is an advantageous first step in most scenarios: by expanding market scale without requiring fiscal transfers, it shifts entire categories of instruments from infeasible to viable. The sequencing follows naturally from the diagnostic: identify the binding constraint, invest in removing it, and let the appropriate instrument tier emerge from the expanded feasible set.

Sub-Saharan Africa's economic recovery from successive global shocks is losing momentum, with growth projections for 2026 revised downward from those published in October 2025. Geopolitical spillovers from the conflict in the Middle East, high debt service burdens, and structural weaknesses are limiting growth prospects and job creation.

Against this backdrop, the report argues that Africa's growth challenge is structural, reflected in low investment, weak productivity, and limited job creation. While interest in industrial policy has revived, past efforts often failed due to weak implementation capacity, fiscal and institutional constraints. The report proposes a pragmatic, ecosystem-based approach that aligns policy tools with country capabilities to deliver productivity gains and durable structural transformation.

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